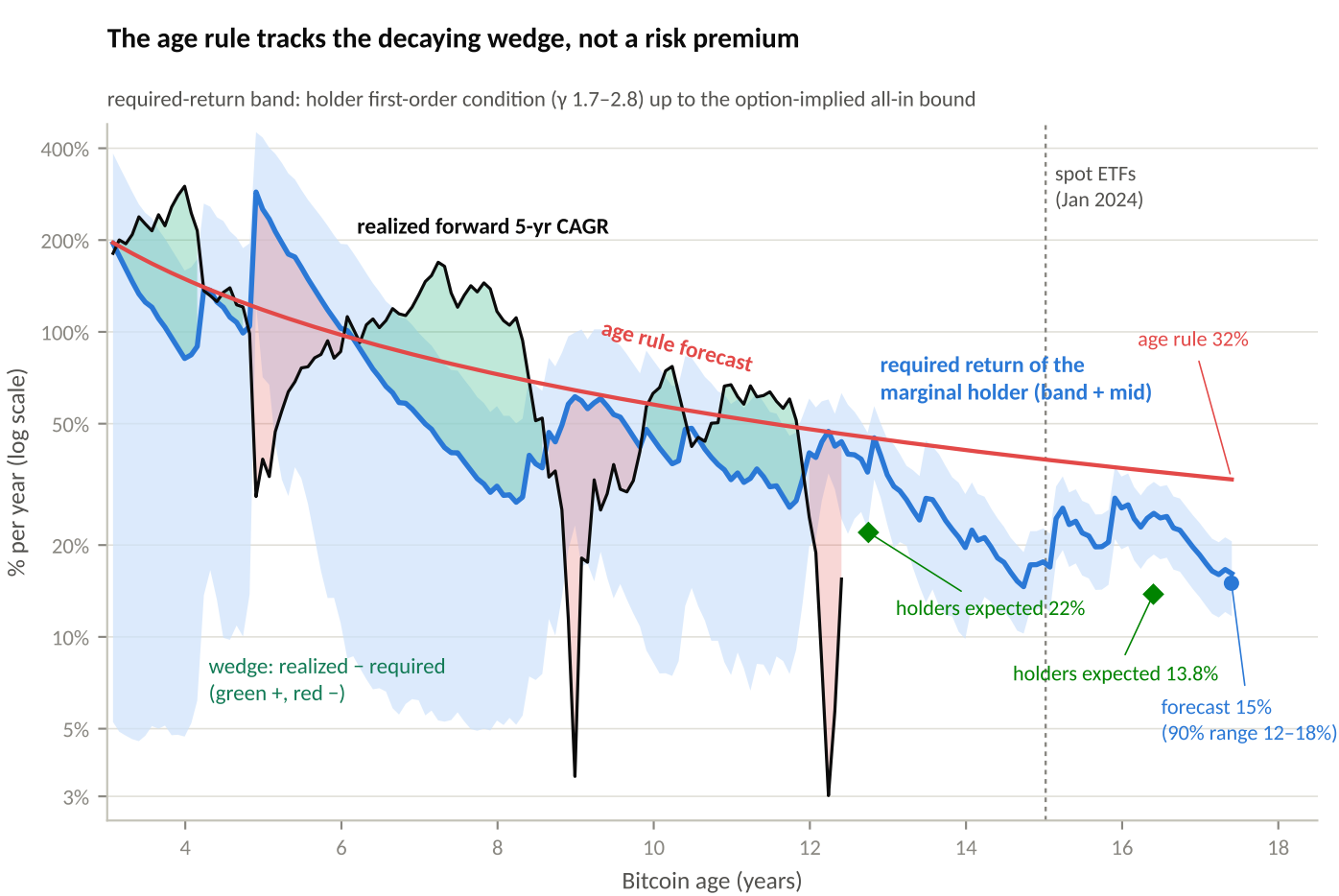
The age rule tracks the decaying wedge, not a risk premium
required-return band: holder first-order condition (γ 1.7–2.8) up to the option-implied all-in bound
400%
200%
100%
50%
20%
10%
5%
3%
% per year (log scale)
realized forward 5-yr CAGR
age rule forecast
spot ETFs
(Jan 2024)
required return of the
marginal holder (band + mid)
age rule 32%
holders expected 22%
holders expected 13.8%
forecast 15%
(90% range 12–18%)
wedge: realized − required
(green +, red −)
4
6
8
10
12
14
16
18
Bitcoin age (years)